

REPORT

Procurement Spend Analysis Report — FY2025-26

Period: Apr 2025 – Mar 2026 | Prepared By: Procurement Analytics | Classification: Internal — Management Use

1. Overview

Total addressable procurement spend for FY2025-26 was Rs. 6,180 crore across direct and indirect categories, broadly flat versus prior year in volume terms, with cost savings initiatives offsetting commodity inflation in select categories.

2. Spend by Category

Category	Spend (Rs. Cr)	% of Total Spend	YoY Change
Raw Materials (Tea, Coffee, Salt, Spices)	2,850	46%	+2.1%
Packaging Materials	1,390	22%	-1.4%
Logistics & Freight Services	980	16%	+4.6%
Marketing & Trade Services	560	9%	+7.2%
IT, Capex & Facilities	400	7%	+3.0%

3. Top Supplier Concentration

The top 10 suppliers by spend accounted for approximately 34% of total addressable spend, concentrated in tea/coffee raw material sourcing and primary packaging (laminates, cartons).

4. Cost Savings

Initiative	Savings Achieved (Rs. Cr)
Packaging material re-engineering (lightweighting)	42
Freight route optimisation & carrier consolidation	28
Renegotiated annual rate contracts (indirect categories)	19
Total Savings	89

5. Sourcing Mix & Sustainability

- Domestic sourcing accounted for 82% of raw material spend; balance imported (primarily specialty coffee green beans).
- 58% of tea supply volume now sourced from Rainforest Alliance-certified estates, up from 47% in FY2024-25.
- Recyclable/mono-material packaging adoption reached 31% of total packaging spend, tracking toward the FY2027-28 target of 60%.

6. Outlook for FY2026-27

Procurement will focus on further packaging cost optimisation, expanding the certified-sustainable raw material base, and deepening long-term contracts with strategic freight partners to mitigate expected fuel-cost volatility.